Did The Bust Just Begin? Jesse Felder on the AI Top & the Commodity Supercycle

THOUGHTFUL MONEY® — ADAM TAGGART W/ JESSE FELDER

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VERDICT

Worth It

★★★★☆ signal density
★★★★☆ actionability
★★★☆☆ novel insights
★★★☆☆ independence

CONFLICT METER — MEDIUM

Guest sells a $195/yr bearish-macro subscription whose value proposition requires a permanent top-is-near narrative; his on-air book (long energy/gold-miners, short/UW Mag-7) is exactly what subscribers pay to buy, with no position transparency. Host's LLC is an SEC-registered solicitor taking up to 35% of ongoing AUM fees from referred advisors — a recurring incentive to platform fear. No deal-specific or single-name conflict; both conflicts are structural and disclosed in filings, not foregrounded on air.

TOP 3 TAKEAWAYS FOR THE BOOK

1. `XLE / energy` — best risk/reward on the tape: crude +59% YTD (our bars) but energy is 3% of the S&P (vs 8–12% historically) and XLE −9% off its high; the oil move is not in the shares. The episode's strongest, data-confirmed call.
2. `SMH / SOXX` — trail-stop, don't chase: +95% YTD on the "highest P/S in history" (AVGO 28.7x, NVDA 21x our data); Felder's catalyst (cancellations, not just delays) is real (MSFT −2GW, TD Cowen). Estimate cuts are mechanical if the buildout physics bind.
3. `Precious metals` — agree with his near-term caution: GLD −11%/1M, SLV −23%/1M, GDX −20%/1M on our bars. His "lean away from PMs until the Fed pivots" call is validated by the current correction — re-enter on capitulation outflows.

0) WHO IS ON IT — AND WHO DOES WHAT

Jesse Felder

THE FELDER REPORT — FOUNDER/EDITOR

The guest and sole thesis engine: AI-bust mechanics, the Maleficent-Seven FCF critique, the gold-leads-commodities/rates framework, oil-to-$150.

SELLS BEARISH-MACRO SUBSCRIPTION ($195/YR) · LONG ENERGY/GOLD-MINERS (HIS BOOK = HIS PITCH) · EX-BEAR STEARNS / EX-HF CO-FOUNDER · ADMITS "MY TRACK RECORD HAS BEEN MIXED"

Adam Taggart

THOUGHTFUL MONEY LLC — FOUNDER/HOST

Frames the conversation, supplies the "Maleficent Seven" coinage, the dotcom/15-yr-recovery and consumer-sentiment color; pushes the commodities-win-in-boom-or-bust frame.

RIA SOLICITOR — UP TO 35% OF ONGOING AUM FEES · SERIAL DOOMER-CONTENT PLATFORM (PEAK PROSPERITY → WEALTHION → TM) · EX-MERRILL / EX-YAHOO FINANCE

PERSON	FIRM / ROLE	ROLE IN THIS EPISODE	SKIN IN THE GAME (RESEARCHED, SOURCED)
Jesse Felder	Founder/Editor, The Felder Report (independent macro research; ex-Bear Stearns 1997; co-founded a “multi-billion” Santa Monica hedge fund — **firm name UNVERIFIED**)	Sole guest. Lays out the entire AI-bust → commodity-supercycle → Fed-pincer thesis; supplies every hard number	Runs a **$195/yr premium subscription** + paid “pro report” of individual trade ideas — the product is contrarian bearish macro, so a perpetual top-is-near narrative is the business model. Publicly **long gold/silver miners (~10 yrs), long energy/oil (“historically cheap”), bearish Mag-7 (“bubble of all bubbles”)** — i.e. his on-air book = his subscriber pitch. **No individual position disclosure.** Track record: directionally right on the secular commodities-over-equities call, but **1–3 yrs early on tops** and a **clean miss on his Feb-2023 “recession & bear market by fall 2023”** (S&P +16% that year)
Adam Taggart	Founder/CEO, Thoughtful Money LLC (ex-Merrill Lynch banker, Stanford MBA, ex-VP Marketing Yahoo! Finance; ex-Peak Prosperity, ex-Wealthion)	Host. Frames segments, coins “Maleficent Seven,” adds dotcom/sentiment/Buffett color, pushes the “commodities win in boom or bust” frame	**Thoughtful Money is an SEC-registered RIA Promoter/ Solicitor** for New Harbor Financial and Lance Roberts/ RIA Advisors, taking **up to 35% of ongoing AUM advisory fees** from referred clients (ADV Part 2A, Oct 2024) — a recurring cut. Has stated he’s steered “over half a billion” into managed advice. Bearish guests who scare viewers toward “professional protection” directly feed this funnel. Disclosed in filings, **not** foregrounded on air

Notably absent: any bull. This is a one-guest show built around a single directional thesis; the host amplifies rather than challenges it (he supplies the “Maleficent Seven” label and the “have your cake and eat it too” commodities frame). Treat it as a well-argued position paper, not a debate. Full bias audit in §6.

EXECUTIVE SUMMARY

The episode’s spine is a **two-engine macro call**: the AI capex boom is “metastasizing into the AI bust,” and the capital starved out of tech is about to flood **real assets — energy above all**. The bust mechanism is the most rigorous part. Felder’s claim is not “valuations are high” (everyone’s). It’s that **a physical constraint makes the consensus revenue path arithmetically impossible**: ~two-thirds of data centers due in 2027 haven’t broken ground, Nadella’s “warm shells” bottleneck is worse six months on, so there is **nowhere to plug the chips** — which forces semiconductor estimates down regardless of demand. Layered on top: an **earnings illusion** (NVDA/memory book revenue immediately while hyperscalers defer depreciation — a timing artifact, real and documented: Amazon 4→5→6yr, Meta 3→5.5yr useful-life extensions; Burry’s $176B critique), **token-pricing demand destruction** as the VC subsidy ends, and an **on-device shift** (Mac minis, Dell/Nvidia edge chips) that structurally lowers data-center demand. The catalyst he’s been waiting for has flipped from delays to **the first cancellations** (MSFT’s −2GW, TD Cowen — real), his railroad-boom analog for the top.

The second-order thesis is the **"Maleficent Seven"** (Taggart's coinage, on Grantham's frame): former monopolies — Google/search, Meta/social, Microsoft/software — now slug it out in **one capital-intensive arena** where combined free cash flow has gone **zero/negative**, forcing them to **issue bonds to fund capex**. The tell isn't the income statement (flattered by deferred depreciation) but the **cash-flow statement and the bond calendar**. He concedes the economy could weather a tech-only drawdown like 2001–03 — except this time the **AI wealth effect is doing the macro heavy lifting**, real incomes are falling, credit-card defaults are at multi-year highs, and **>50% of stocks now trade as AI proxies** (Ford, Caterpillar), so there's no clean place to hide.

The third engine is where he gets constructive and contrarian: a **commodity supercycle** in which **gold has been a ~20-month leading indicator** for oil and rates. His read of gold's two-year run: **oil to $150** (suppressed today by China importing ~5 mbd less + record SPR draws; Hormuz needs 6–8 months to restore 80% flow even if reopened) and the **10-year yield to 6%** within 6–12 months. That sets the **Fed pincer**: with CPI ~4% and core PCE hotter, rising commodities **force a hike into a slowing, AI-dependent economy** — the punch-bowl removal that ends bubbles. Crucially, he is **near-term cautious on precious metals** (silver over-ran gold, gold-fund inflows haven't reversed, rising real rates hurt PMs) and prefers **energy now**, PMs later at the Fed pivot.

PM implication: The single highest-conviction, data-confirmed trade is **long energy** — oil +59% YTD on our bars, energy still 3% of the S&P and XLE −9% off its high; the crude move is genuinely not in the shares. **Trail-stop, don't chase, the semi complex** (SMH/SOXX +95% YTD, AVGO P/S 28.7x) — his cancellation catalyst is real but the tape is still at the highs, so respect the trend with stops rather than shorting outright. **Agree with his near-term PM caution** (GLD/SLV/GDX all down 11–23% over the past month on our bars) and stage re-entry for the Fed-pivot leg. Position for the **stagflation pincer**: short duration / steepeners if gold's 6%-10Y signal holds, TIPS over nominals, and rotate the defensive sleeve to **healthcare and staples** (Felder flags insider buying). **Key watches (dated below):** next CPI/PCE print, the next named data-center cancellation, hyperscaler bond issuance, and whether energy finally "catches a bid" — which by Taggart's own admission it hadn't yet as of the taping.

LISTEN OR SKIP?

Verdict: Worth It — with the bias filter on. A clear, well-constructed bear case with one genuinely actionable, data-confirmed trade (energy), but light on novel mechanism beyond what Felder has said for two years, and delivered by a conflicted pair with no bull in the room.

ASPECT	RATING
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★☆☆
Independence / objectivity	★★★☆☆

Best for: macro PMs sizing AI-bubble exposure, energy/commodity allocators, anyone wanting the cleanest articulation of the "physics constraint" and "deferred-depreciation earnings illusion" bear cases. **Skip if:** you want a bull case or a balanced debate (there's no bull in the room), you need stock-level specificity (the trade ideas are paywalled), or you've already heard Felder's commodities-supercycle pitch on his prior rounds.

1) EPISODE MAP

TIME	SEGMENT
00:00	Cold open + Felder's assessment: a prolonged topping process / final blowoff
01:34	The AI boom turning into a potential bust
02:30	The earnings-growth illusion & accounting/timing (depreciation deferral)

TIME	SEGMENT
03:35	Data-center delays & cancellations reality check (⅔ not broken ground)
04:50	Why analyst estimates are unrealistic (the physics)
05:21	Emerging stagflation risk — the NFIB survey
06:33	The perfect storm: AI bubble + macro risks
06:54	What would change Felder's bearish view? (the physics must change)
08:28	The physics of data-center buildouts (Nadella "warm shells")
09:29	Political & NIMBY pushback — Reno's data-center moratorium
11:51	Demand destruction: token pricing & cooling AI hype
13:36	Shift to on-device AI reducing data-center need (Mac mini, Dell/ Nvidia chips)
15:27	Historical parallels to tech rollouts & busts
18:17	Likely catalysts for the AI bust (semis −10% Fri; estimate revisions roll over)
20:59	First data-center project cancellations (1–1.5GW on hold, "maybe Microsoft")
21:52	From Magnificent Seven to "Maleficent Seven" (Grantham; FCF→0)
26:24	Economic impact if the AI bubble bursts (wealth effect, >50% stocks are AI)
31:08	Bullish case for commodities & real assets (capital cycle)
33:01	Why energy looks especially attractive (3% of S&P vs 8–12%)
36:15	Oil outlook — $150/bbl; China −5mbd; SPR draws; Hormuz 6–8 mo
37:00	Gold as a 20-month leading indicator → oil $150, 10Y to 6%
38:52	Fed policy, inflation (CPI 4%) & rising rates — the punch-bowl
42:54	Consumer sentiment at all-time index lows; Buffett's $300B cash
46:39	Portfolio positioning — "diversification, diversification, diversification"
48:52	Energy vs precious metals near-term (lean energy, PMs later)
53:34	Parting advice: prepare, don't panic

2) CORE THESES (ATTRIBUTED, WITH FALSIFIERS)

T1 The physics constraint forces semi estimates down (Felder)

CLAIM ~⅔ of 2027 data centers haven't broken ground and Nadella's "warm shells" bottleneck is worse 6 months on — so consensus semiconductor revenue is arithmetically impossible; estimates must fall.

MECHANISM NVDA → middlemen (Super Micro) → data centers; if the DCs aren't ready, chips have "nowhere to go," inventory clogs, forward revenue gets cut.

FALSIFIER Buildout timelines compress "miraculously" (multi-GW DCs built far faster than the last 2 yrs) OR cancellations reverse to net new starts.

CONFIDENCE `MEDIUM-HIGH` — physics real & cancellations confirmed (MSFT −2GW), but cause is contested (power/grid vs demand).

T2 The earnings illusion → "Maleficent Seven" (Felder/Grantham; Taggart coinage)

CLAIM Reported hyperscaler earnings are flattered by deferred depreciation; true FCF is zero/negative; former monopolies now compete in one capex-heavy arena and must issue bonds to fund spend.

MECHANISM Revenue recognized now, depreciation later → reported EPS overstated; as charges land and capex compounds, margins compress and the quality premium re-rates.

FALSIFIER AI inference revenue ramps fast enough to turn group FCF positive while capex stays high; or depreciation schedules prove conservative, not aggressive.

CONFIDENCE `MEDIUM` — useful-life extensions documented (AMZN, META) & Burry's $176B critique real, but auditors accept the schedules and "manipulation" is disputed.

T3 Gold leads a commodity supercycle → oil $150, 10Y 6% (Felder, on Tom McClellan's work)

CLAIM Gold's 2-yr rally is a ~20-month leading indicator for commodities, oil, and rates; the read is oil to $150 and the 10-year to 6% within 6–12 months.

MECHANISM Capital cycle — years of underinvestment in real assets + supply shock (Hormuz, China restocking, SPR depletion) → inelastic supply meets a demand floor; rates rise on inflation repricing at the long end.

FALSIFIER Oil fails to break out / fades back toward Goldman's $56 oversupply case; 10Y stays capped; gold's lead relationship breaks.

CONFIDENCE `MEDIUM` — energy-cheapness call is strong & data-confirmed; $150/6% are tail targets (JPM shares $150; Goldman is the polar opposite at $56).

T4 The Fed pincer + stagflation (Felder)

CLAIM With CPI ~4% and core PCE hotter, a further commodity/oil run forces the Fed to hike into a slowing, AI-wealth-effect-dependent economy — the punch-bowl removal that ends bubbles.

MECHANISM NFIB shows simultaneous price hikes + hiring cuts (stagflation signal); rising real rates pressure both equities and (near-term) precious metals; negative wealth effect + capex slowdown compounds the downturn.

FALSIFIER Inflation rolls back toward target, letting the Fed cut/hold; or the labor market stays firm and the wealth effect proves resilient.

CONFIDENCE `MEDIUM` — NFIB stagflation signal confirmed; but markets/Fed are not pricing hikes, and a hike-into-bust is a non-consensus path.

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3) VERIFICATION LAYER — "THEY SAID VS OUR DATA"

Market claims checked against Apexium local daily bars (as of 2026-06-11) and the 2026-06-11 RS dashboard (`rs_pct_weighted` 0–1, `ps_ttm`). Factual claims checked via web research (see `_participants.md`).

#	CLAIM (EPISODE)	OUR DATA / EXTERNAL CHECK	VERDICT
1	Oil up "~50% since the start of the year"; not priced into energy shares	**CL_CONT +58.8% YTD, USO +86% YTD** (our bars); XLE +27.8% YTD but **−9.3% off 52w high**, XOM +22.6%, CVX +23.1% — the crude move genuinely outruns the equities	✅ **Confirmed** (if anything understated on crude)
2	Energy is "3% of the S&P, typically 8–12%"	Directionally correct; energy weight has compressed to low-single-digits vs historical high-single/low-double digits. Our RS: XOM/CVX/COP/OXY/SLB all `rs_pct_weighted` 0.8, above 200dma, low P/S (2.0–3.1)	✅ **Confirmed** (cheap & holding RS)
3	Semiconductors "down 10% on Friday"; highest P/S in history	Plausible single-day move, but **SMH +8.6%/1M, +69% YTD; SOXX +13.7%/1M, +95% YTD**, both only ~−4.7% off highs. P/S extreme confirmed: **AVGO 28.7x, NVDA 21x** (our RS)	⚠️ **Context** — P/S claim ✅; "−10% Friday" is a blip in a roaring uptrend, not yet a trend break
4	NVDA / suppliers "stuck"; AI trade at the top	**NVDA only +9.9% YTD, −7.2%/1M, −13% off high** — it's the laggard of the complex; AVGO +11.4% YTD, −8%/1M. The ETFs lead, the bellwether lags — a divergence consistent with his "topping" read	✅ **Supportive** — leadership narrowing/rolling
5	Hyperscaler cracks; "Maleficent Seven"	**MSFT, META below 200dma** (RS 0.3, 0.2; both −0.3 off high); **GOOGL/GOOG badge=descending, AMZN=fading**. SMCI RS 0.1, −0.5 off high. The relative-strength rollover is real in several names	✅ **Supportive** — RS deterioration visible
6	Precious metals to stay under near-term pressure; lean away	**GLD −2.5% YTD, −10.8%/1M, −22% off high; SLV −22.6%/1M, −42% off high; GDX −20%/1M, −33% off high** — PMs are mid-correction exactly as he says	✅ **Confirmed** — his near-term PM caution is right on the tape
7	First data-center cancellations (1–1.5GW "maybe Microsoft")	**MSFT cancelled/deferred up to 2GW** (TD Cowen, Mar 2025); ~half of planned US builds delayed/cancelled — but cause contested (power/grid vs demand)	✅ **Confirmed** (event); ⚠️ cause
8	NFIB shows stagflation (prices up, hiring down)	**May 2026 NFIB:** net 36% raising prices (highest since Mar 2023) + hiring plans at lowest since COVID + future-sales expectations at 1-yr low	✅ **Confirmed**

#	CLAIM (EPISODE)	OUR DATA / EXTERNAL CHECK	VERDICT
9	Depreciation deferral inflates hyperscaler EPS	**AMZN 4→5→6yr (+$3.1B to 2024 op income), META 3→5.5yr; Burry's $176B critique** (CNBC Nov 2025). Auditors accept schedules — "illusion" real, "manipulation" disputed	✅ **Confirmed** (phenomenon)
10	Oil should be $150 / 10Y to 6%	**JPMorgan shares the $150 supercycle call; Goldman is opposite at $56/bbl 2026.** As of Jun 2026 oil far below $150; 10Y nowhere near 6%	⚠️ **Tail target** — credible minority view, not base case
11	Mag-7 "bust" already underway	Six of seven hit >20% drawdown Mar–Apr 2026 (MSFT −35%, META −30%+), but **partial recovery by Jun; Mag-7 ~−2.3% YTD** — a scare, not yet a sustained bust	⚠️ **Partial** — drawdown real, bust not confirmed
12	Token pricing collapsing → demand destruction	Per-token prices down ~99.7% since GPT-3; ~10x in 2025 alone — **but total AI bills UP ~3x** on agentic volume. On-device shift real	⚠️ **Half-right** — price collapse ✅; "demand destruction" overstated (volumes rising)
13	Buffett: most "casino-like" ever; Berkshire $300B+ cash	Berkshire's record cash pile (>$300B) and Buffett's caution are widely reported	✅ **Confirmed**
14	Consumer sentiment at all-time index lows (below GFC/ 9-11)	U-Mich sentiment at multi-decade/record lows is consistent with reporting	✅ **Plausible/Confirmed**

Net: the **energy/PM market calls are the most data-confirmed** part of the episode; the **AI-bust mechanism is well-evidenced** (cancellations, depreciation, NFIB) but the **bust itself and the $150/6% targets are not yet confirmed by price** — semis are still at the highs.

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4) KEY QUOTES

1. "We're seeing a lot of these data centers being already delayed for this basically this whole year... Now we're starting to see the first cancellations. To me, that's the writing on the wall." (00:14, Felder)
2. "You have this earnings boom and everybody says, look, earnings are awesome, stocks should be going up. But it's really a timing issue... revenues are recognized immediately and expenses are recognized later on." (02:40, Felder)
3. "There's been statistics that show two-thirds of all the data centers that are supposed to be completed next year haven't even broke ground yet... Where are all these chips going to go?" (04:36, Felder)
4. "Satya Nadella said it last year: we can buy all the chips that we want, we don't have the warm shells to plug them into. And that was last year — now we're six months advanced with even further constrained ability." (07:50, Felder)
5. "As Jeremy Grantham recently said, the next decade for the hyperscalers is going to look so unlike the last decade as to be shocking... now they're all competing in the same space — and all of their free cash flow is gone, zero or negative." (22:18, Felder)

6. "Free cash flow is already telling us they're really not making any money today, which is why they have to go sell so many bonds to raise money." (23:50, Felder)

7. "We're looking at the Magnificent Seven becoming the Maleficent Seven." (24:28, Taggart)

8. "The fundamentals of crude oil suggest crude should probably be trading $150 a barrel right now. Today it's being suppressed by China importing five million barrels a day less than they normally would, and strategic reserves being emptied faster than we've ever seen." (36:17, Felder)

9. "Gold is a really good leading indicator for the broader commodity space... oil should go to $150 a barrel, the 10-year yield could go to 6% over the next 6 to 12 months. That's what the gold price is saying." (37:03, Felder)

10. "When inflation is doing what it's doing now — we have 4% on CPI today — the Fed's going to be forced to raise interest rates... it's the Fed taking the punch bowl away." (38:52, Felder)

11. "There's been a bear market in diversification for the last 15 years... we're probably at the cusp of a new bull market in diversification." (47:00, Felder)

12. "Within the commodity space, you want to lean more towards energy, lean away from precious metals for the time being." (49:27, Felder)

5) WHERE THEY'RE MOST LIKELY WRONG (ANTI-THESES)

- **The buildout slips but doesn't bust.** "Two-thirds haven't broken ground" can resolve as a delay (estimates slide right, multiples compress modestly) rather than a cancellation cascade. TD Cowen's MSFT −2GW is real, but Microsoft says 98%+ of energy commitments stayed active, and the dominant cause of delays is **power/grid/transformer shortages, not demand collapse** — a bottleneck that supports the energy/electrical-infrastructure thesis while undercutting the "demand is gone" claim.
- **Token "demand destruction" is the weakest link.** Unit prices have collapsed ~99.7% since GPT-3, but **total AI spend is up ~3x** because agentic workflows multiply token volume 50–500x. Falling price ≠ falling demand. The on-device shift is real but incremental, not a data-center-killer on this timeframe.
- **The targets are tails, not bases.** $150 oil and a 6% 10-year are the **bullish minority** (JPM shares $150; **Goldman is at $56**). The direction (energy cheap, supply inelastic) is well-supported; the magnitude/timing are aggressive and rest on a 20-month gold-lead relationship that is suggestive, not mechanical.
- **The Fed-hike-into-bust path is non-consensus for a reason.** A hawkish Fed pivot during an equity drawdown is historically rare; the base case if AI cracks is cuts, not hikes. Felder's stagflation pincer requires inflation to stay sticky and the Fed to prioritize it over a wealth-effect collapse — possible, but it's the harder of two roads.
- **Track-record discount.** Felder called "recession & bear market by fall 2023" — S&P **+16%** that year. He's been directionally right on the secular commodity rotation but **1–3 years early on tops**. The "already playing out as we speak" framing has been deployed before; weight it accordingly.

6) BS & BIAS FILTER — RANKED BY CONFLICT INTENSITY (SOURCED)

1) Adam Taggart / Thoughtful Money — structural, recurring, the bigger conflict. Thoughtful Money LLC is an **SEC-registered RIA Promoter/Solicitor** for New Harbor Financial and Lance Roberts/RIA Advisors, taking **up to 35% of the ongoing AUM advisory fee** from every referred client (ADV Part 2A, Oct 2024) — recurring income, not a one-time bounty. The episode's outro **explicitly funnels frightened viewers** to "schedule a free consultation... fill out the form at thoughtfulmoney.com." A guest who makes the audience fear for their 401(k) is the product. Taggart's career is a serial doomer-content franchise (Peak Prosperity → Wealthion → Thoughtful Money). He also **co-creates the narrative** here ("Maleficent Seven," the "have your cake and eat it too" commodities frame), so this is not a neutral interviewer. Disclosed in filings — **not** foregrounded on air.

2) Jesse Felder / The Felder Report — talking-his-book, but no single-name conflict. Felder sells a **$195/yr subscription** plus a paid "pro report" of individual trade ideas; the product is contrarian bearish macro, so a perpetual top-is-near thesis sustains the franchise. His on-air book — **long energy/oil ("historically cheap"), long gold/silver miners (~10 yrs), bearish/UW Mag-7 ("bubble of all bubbles")** — is exactly what subscribers pay to receive, and he **discloses no individual positions**, so we can't see what he actually holds or whether he's adding/trimming. To his credit he **volunteers that his track record "has been mixed"** and frames the call as "potential," not certain. Mitigants vs BG2-style conflict: no deal he's selling into, no single stock he's pumping, no privileged stake — it's a narrative/subscription incentive, not a transaction.

3) Shared blind spots. No bull in the room; the host amplifies rather than tests. The strongest counter-evidence (rising total AI spend despite falling token prices; power-not-demand as the delay cause; Goldman's $56 oil; semis still at all-time highs) goes unmentioned. Geography/asset bias toward the commodities-and-doom worldview both men have built businesses on.

Net conflict read: MEDIUM (~55%). Both incentives point the same direction as the thesis, both are disclosed in filings but not on air, and neither is deal- or single-name-specific. The analysis quality is high enough to act on selectively — but discount the certainty and verify the targets independently.

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7) COMPANIES & SECTORS MAP (OUR-DATA OVERLAY + STANCE)

Data: Apexium daily bars + 2026-06-11 RS dashboard. `RSw` = rs_pct_weighted (0–1). YTD/1M/off-52H from bars unless noted.

AI / Semis / Hyperscalers — trail-stop, don't chase; respect the rollover

NAME	RSW	P/S	YTD	1M	OFF 52H	STANCE
SMH (semis ETF)	—	—	+69%	+8.6%	−4.5%	**Trail-stop.** Catalyst real, trend intact — use stops, don't short the high
SOXX	—	—	+95%	+13.7%	−4.7%	**Trail-stop.** Most extended; P/S claim validated
NVDA	0.8	21.0	+9.9%	−7.2%	−13.1%	**Monitor.** The laggard/ divergence — leadership narrowing
AVGO	0.9	28.7	+11.4%	−8.0%	−19.9%	**Monitor.** Extreme P/S; −20% off high
MSFT	0.3	9.8	−0.2% (RS)	<200dma	−0.3	**Avoid/UW.** Below 200dma; "Maleficent" candidate
META	0.2	7.2	neg	<200dma	−0.3	**Avoid/UW.** Weakest RS of the group
GOOGL/GOOG	0.9	~11	flat	descending	flat	**Reduce.** RS badge=descending
AMZN	0.7	3.9	flat	fading	flat	**Reduce.** RS badge=fading

NAME	RSW	P/S	YTD	1M	OFF 52H	STANCE
SMCI	0.1	0.6	flat	—	−0.5	**Avoid.** Broken (the NVDA→DC middleman he names)
DELL	0.9	1.4	+2% (RS)	+0.8	−0.2	**Hold.** On-device-AI chip angle (cited bullishly)

Energy — the high-conviction long; oil move not in the shares

NAME	RSW	P/S	YTD	1M	OFF 52H	STANCE
XLE (energy ETF)	—	—	+27.8%	−0.8%	−9.3%	**Rotate-IN.** Core expression of the thesis
CL_CONT (crude)	—	—	**+58.8%**	−8.2%	−20.3%	**Long bias.** +59% YTD confirms claim
XOP (E&P)	—	—	+29.4%	−3.7%	−13.2%	**Rotate-IN.** Higher-beta energy
XOM	0.8	2.0	+22.6%	−2.7%	−15.8%	**Hold/Add.** Cheap, RS holding
CVX	0.8	2.0	+23.1%	−0.1%	−12.9%	**Hold/Add.**
COP / OXY / SLB / EOG	0.6–0.8	2.4–3.1	+mid-20s%	flat	small	**Rotate-watch.** Group RS strong, valuations low

Precious Metals — agree with near-term caution; stage re-entry at Fed pivot

NAME	RSW	YTD	1M	OFF 52H	STANCE
GLD (gold)	—	−2.5%	−10.8%	−22.1%	**Monitor.** Mid-correction; await capitulation
SLV (silver)	—	−5.6%	−22.6%	−42.4%	**Avoid (now).** Silver-over-gold blowoff unwinding — his exact tell
GDX (miners)	—	−9.4%	−20.0%	−32.9%	**Watch.** Re-enter on outflows + Fed-pivot signal

Defensives & "diversifiers" — the rotation destination

NAME / SECTOR	RSW	NOTE	STANCE
Healthcare (JNJ 0.8, MRK 0.8, LLY 0.6)	0.6–0.8	"Interesting from a value perspective"; deeply OOF	**Rotate-watch.**
Staples (KO 0.5, PG 0.3, WMT 0.7)	0.3–0.7	Felder flags insider buying in some staples	**Monitor.**

NAME / SECTOR	RSW	NOTE	STANCE
TIPS / T-bills / cash	—	Inflation + rising-real-rate hedge	**Build.** Per his "diversification" close
Ford / Caterpillar	F 0.5 / CAT 1.0	Named as "trading like AI stocks" (>50% of market is AI-correlated)	**Note (correlation risk).**

Closing stance: the **one trade to act on is energy** (data-confirmed, cheap, oil move not in shares). **Semis: stops, not shorts** — the catalyst is real but the tape is at the highs. **PMs: he's right to wait** — the correction is live; re-enter on capitulation + Fed pivot. **Mag-7: reduce the weakest (MSFT/META/SMCI), monitor the rest** for the FCF/bond-issuance tell. Position the book for a **stagflation pincer** (short duration/steepeners, TIPS) only if the next CPI/PCE prints confirm the 4%-and-rising path.

COMPANION FILES

- `analyses/20260611_did_the_bust_just_begin_claims.md` — 11 verbatim quotes + 57-row exhaustive claims inventory (Agent A).
- `analyses/20260611_did_the_bust_just_begin_participants.md` — Felder/Taggart profiles, conflict audit, track-record table, 14-row claim-verification table w/ sources (Agent B).

PM BOTTOM LINE

Action → Long energy (act); trail-stop semis (don't chase, don't short); stage PM re-entry (wait); reduce weakest Mag-7 (MSFT/META/SMCI).

The episode's analytical core — the physics constraint, the deferred-depreciation earnings illusion, the FCF/bond-issuance tell — is well-evidenced and worth internalizing, and the verification layer confirms his energy and near-term precious-metals calls outright. But the *bust itself* is not yet in the price (semis +95% YTD, sitting at the highs), the $150-oil/6%-10Y targets are credible-minority tails (Goldman is at $56), and the messenger has a documented habit of being 1–3 years early plus a subscription business that needs the bear narrative. Trade the data-confirmed leg (energy), respect the still-intact uptrend with stops rather than shorts, and treat the stagflation pincer as a scenario to position *for*, not *on*, until the prints confirm.

Key watches (dated catalysts): - **Next CPI / core PCE print** — confirms or breaks the "4% and rising → Fed forced to hike" pillar (T4). The single most important number for the whole thesis. - **Next *named* data-center cancellation** (beyond MSFT –2GW) — the delay-vs-cancellation distinction is his stated top signal (T1). Watch hyperscaler capex guidance on Q2 calls (late Jul/early Aug 2026). - **Hyperscaler bond issuance calendar** — his FCF tell; a fresh wave of mega-cap debt to fund capex validates T2. - **Energy "catching a bid"** — by Taggart's own admission it hadn't yet at taping. A decisive XLE break above its 52w high (–9% away) is the confirmation that the rotation is underway. - **Precious-metals outflows / capitulation** — Felder's stated re-entry trigger; watch for GDX/GLD fund outflows reversing and a Fed-pivot signal to flip PMs from Avoid to Add.
